



TXU Networks

NETWORK TARIFF REPORT

2005



Change of Ownership

On 30 July 2004 Singapore Power Limited acquired the TXU Australia group of companies, including TXU Electricity Limited, the holder of the electricity distribution licence in Victoria. TXU Electricity Limited then changed its name to SPI Electricity Pty Ltd. SPI Networks is the name now used to describe the gas and electricity distribution activities of the group in Victoria, although the name and logo 'TXU' continue to be used under licence from TXU Corp for a transitional period.

Singapore Power is a committed investor in the Australian energy market and has a long term strategic vision for the Victorian transmission and distribution assets it owns. Singapore Power intends to support the long term interests of its current and future customers by efficiently investing to:

- Maintain high levels of safety and environmental performance;
- Satisfy our customers' increasing needs and expectations;
- Improve overall network reliability and quality of supply;
- Improve specific reliability issues in areas of poor performance;
- Strengthen network capacity and resilience; and
- Deliver long term sustainability of both the physical network and necessary operational skills.



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2005 Network Tariff Report

Overview

As part of the Essential Services Commission's (ESC) Electricity Distribution Price Review, TXUN has agreed to publish an annual Tariff Report, in order to enable distribution customers to understand the basis for the tariff policies adopted by TXU Networks and to communicate changes in tariffs.

Customers receive an electricity bill that contains the following elements:

- Distribution and transmission charges,
- Energy charges
- Retail charges

This report addresses only the distribution and transmission components of a customers' electricity bill and includes the following:

- a) The distribution and transmission tariffs charged by the distributor;
- b) A discussion of the policy framework and tariff principles adopted by the distributor in framing the structures and level of its tariffs;
- c) An explanation of the basis on which the distributor has determined the appropriate breakdown between fixed and variable charges;
- d) The rationale for the introduction of any new tariffs, or the withdrawal of tariffs;
- e) An explanation of how the distributor has had regard to the consideration of upper and lower bounds in determining its distribution tariffs;
- f) The extent to which the tariff structures adopted provide efficient consumption signals to distribution customers;
- g) The methodology adopted for allocating transmission-related costs to distribution customers through its transmission tariffs; and
- h) An estimate of the average annual distribution and transmission charge (in \$) for each combination of distribution and transmission tariff.

Scope

TXU Networks levies Network Tariffs on customers supplied with electricity within its Distribution Area outlined in Schedule 2 of its Distribution Licence as varied on 14th January 2005.

This report applies from 1 January 2005 to 31 December 2005 and is applicable to all customers in TXU Networks distribution area



Highlights

In 2005, TXU Networks reduced distribution tariffs by –1.14% on average. The maximum increase on any tariff component was 4.4%. The changes were made up of the following:

Price Variation Elements	Percentage
CPI	2.3%
X Factor	-1.0%
S Factor	-2.4057%

CPI: September Quarter of All Groups, Weighted Average of eight capital cities;
X Factor: Approved price path for regulatory period 2001-2005;
S Factor: Incentive mechanism on reliability that rewards (or penalises) distributors on the basis of performance against target.



Network Tariffs

Through the application of network tariffs TXU Networks recovers revenue for the ownership, operation and management of its Distribution system, as well as payments for access to and use of transmission services provided by SPI Powernet, VENCORP and approved embedded generators.

TXU Networks' Distribution System receives electricity at 66,000 and 22,000 volts, at Terminal stations. The TXU Networks system then transforms the electricity to 22,000 volts, 11,000 volts, 6,600 volts, 415 volts or 240 volts and transports the electricity to individual customer connection points for use by customers.

Network Tariffs consist of two components:

1. Distribution Use of System Charges (DUoS) to recover revenue associated with regulated services for the distribution business; and
2. Transmission Use of System Charges (TUoS) to recover the costs of transmission use of system services (discussed in section Transmission Tariffs below).

Distribution Use of System Tariffs

The DUoS Tariffs set out the Distribution component of the Network Tariffs that apply throughout TXU Networks distribution area. DUoS tariffs are designed to recover:

- a) The costs of operating, maintaining and augmenting the distribution network; and
- b) A return on asset that allows the distributor to earn a rate of return determined by the ESC.

TXU Networks uses a cost of supply model to allocate DUoS costs to the different tariff classes and components according to their use of the distribution network. The distribution network consists of five voltage levels of supply. These are:

1. Sub-transmission Lines;
2. Sub-transmission-to-high voltage transformation;
3. High voltage lines;
4. High voltage-to-low voltage transformation; and
5. Low voltage lines.

Costs are allocated to customer tariff classes based on the point the customer connects to the network and the use of assets to that connection point. For example, a large sub-transmission customer is connected directly to the sub-transmission lines and therefore incurs the costs and assets associated with the use of sub-transmission assets only. A small residential customer, on the other hand, is connected to the low voltage line and therefore uses all five voltage levels of supply and associated assets. The cost of supplying smaller customers is therefore higher, which is why smaller customers at low voltage levels have higher tariffs compared to larger customers at high voltage levels.

Tariff Principles

Through a cost of supply model TXU Networks considers the tariff principles, such as economic efficiency, financial sufficiency, cost reflectivity, equity, simplicity and certainty. Attachment 4 gives a detailed explanation on tariff principles.



The cost of supply model includes assets and capital expenditure, as well as fixed and variable costs necessary to distribute energy to customers. The primary tariff principle applied by TXU Networks is allocation of charges between levels of supply, which is discussed below.

Allocation of Charges between levels of supply

TXU Networks DUoS tariffs are established for the three levels of transformation. These are:

1. Sub-transmission, >22,000 volts;
2. High Voltage, >1,000 volts and $\leq 22,000$ volts; and
3. Low Voltage, <1,000 volts.

Individual DUoS tariffs are made up of a number of price components to reflect different times of use and levels of usage. TXU Networks' Tariffs consist of up to five of the following different price components:

- Standing Charge;
- Block 1 Energy Charge;
- Block 2 Energy Charge;
- Peak Energy Charge;
- Shoulder Energy Charge;
- Off Peak Energy Charge; and
- Demand Charge.

The individual components used in each of the tariffs are largely dependent on the type of metering installed. Low voltage customers with basic single register meters have been assigned to single rate network tariffs; or block network tariffs. A block tariff is where one rate applies for the first block of usage, and another rate applies for the second block of usage.

Where meters with multiple registers are installed with mechanical switching a two-rate seven-day tariff may be assigned. For a two rate five day tariff to be assigned a customer must have a multiple register meter and an electronic time switch or an interval meter capable of recording use over thirty minute or fifteen minute intervals. For large Low Voltage, High Voltage and Sub-transmission customers, current transformer and interval meters, or multiple register meters capable of recording a customer's maximum demand, are required to enable billing of all tariff components.

Allocation of Charges between Fixed & Variable Components

Standing Charge - Fixed

The Standing Charge is a fixed charge that recovers the network unavoidable customer costs. These costs are typically infrastructure costs such as service connection, standard metering, Use of System billing and collection. Meter reading costs are now recovered as an excluded service charge to retailers for whom the service is provided.



Peak Energy Charge - Variable

For single rate customers, the Peak Energy Charge recovers all other non-standing charge costs associated with use of the distribution system. Where customers are assigned to a two-rate tariff without a demand component the peak energy charge recovers the costs associated with the customer's local system demand and a contribution to deep system demand. A portion of the common use asset cost is also recovered from the peak energy charge. For those customers where a demand component is included in the tariff structure, the peak energy charge recovers a portion of the deep system demand costs and a portion of the common use asset costs.

Shoulder Energy Charge - Variable

The Shoulder Energy Charge was introduced in 2003. The shoulder rate is intended to recover the same costs as a peak energy charge, with a reduced rate (relative to the peak rate) to reflect the system load profile of TXU's network.

Off Peak Energy Charge - Variable

The off peak energy charge recovers costs associated with common use assets alone.

Demand Charge - Variable

The demand charge, where applied, recovers from customers the costs associated with infrastructure assets installed to meet local demand and a portion of deep system demand. TXU Networks only applies a demand charge to customers who use more than 160 MWh per annum, as these customers contribute more to network usage at peak times.

Deep System Assets

For low voltage customers, distribution deep system assets are high voltage line and protection assets, zone substation assets, and sub-transmission assets. For high voltage customers, distribution deep system assets are zone substation assets and sub-transmission assets. For sub-transmission customers, distribution deep system assets are sub-transmission connection assets at Terminal stations. For all customers, all transmission assets are deep system assets.

Common Service Assets

Common Service Assets for each customer group are those assets that support the supply to all customers supplied from the network in the customers' local area.

Derivation of DUoS Tariffs

Once costs of the distribution network (operation & maintenance, return on assets) have been isolated at each voltage level and allocated between fixed and variable components, DUoS tariffs can be derived.

Cost reflective DUoS tariffs are derived by dividing the costs by the associated quantities (customer numbers, energy, and maximum demands). For example, the standing charge costs, such as provision of metering equipment and service line to the customer's premises, are divided by the total number of customers supplied within a tariff class. This calculation derives a dollar amount per customer, which becomes the standing charge.

Once cost reflective tariffs have been derived, tariffs are further adjusted to comply with the ESC's electricity distribution price controls, which allow tariffs to be adjusted, on average, by CPI-1%. In order to recover the required revenue, as set by the ESC, some tariffs may be adjusted upwards, while other tariffs must be adjusted downwards to meet the overall price control.

In 2005 an adjustment was made to the electricity distribution price controls through the addition of an 'S Factor'. The S Factor is a service adjustment made to the price controls that is designed to provide a reward to distribution businesses for improving reliability above pre-



established benchmarks. In 2002, TXU did not meet the benchmarks set for unplanned interruption duration, unplanned interruption frequency and planned minutes off supply such that a 2.41% decrease was made to the 2005 distribution price control.

The schedule of DUoS tariffs as approved by the ESC that apply throughout TXU Networks distribution area is set out in Attachment 1.

Transmission Tariffs

Transmission Use of System (TUoS) Charges are set by TXU Networks to recover the costs associated with the transmission system. These are pass-through amounts payable to VENCORP and SPI PowerNet and approved embedded generators and cover:

- The costs incurred by SPI PowerNet to provide and maintain the transmission system;
- The costs incurred by VENCORP as System Planner of the transmission system;
- Equalisation Receipt payable by VENCORP;
- Settlements Residue, which results in a reduction in TUoS charges;
- Prescribed connection services charge payable to SPI PowerNet for connection to the transmission system;
- Excluded connection services payable to SPI PowerNet;
- Net Inter-network provider distribution service charges receivable from or payable to other distribution businesses for connection to and use of other networks.
- Embedded generator payments, where approved by the ESC.

TXU Networks recovers these pass-through costs from customers through a peak, off-peak and, where applicable, shoulder charge. The off-peak charge has been set at 0.546 cents per kilowatt-hour. The remaining revenue required has been allocated to tariff classes based on the proportion of cost associated with supplying those customers. Dividing the allocated revenue by the total number of peak kilowatt-hours distributed derives the peak unit rate.

The schedule of TUoS tariffs as approved by the ESC that apply throughout TXU Networks distribution area is set out in Attachment 2.



2005 Network Tariffs

In 2005 TXU Networks has thirty-six Network Tariffs. The 2005 schedule of Network tariffs (combined DUoS and TUoS Tariffs) as approved by the ESC is set out in Attachment 3.

Attachments 1 and 2 refer to schedules of DUoS and Tuos tariffs, respectively, as approved by the ESC.

These schedules apply throughout TXU Networks distribution area, from 1 January 2005 to 31 December 2005.

Details of parent tariff categories to sub categories for each tariff

Category	Parent	Sub Class 1	Sub Class 2
Small Customers	NEE10^	NEE11	
	NEE20		
	NEE30*	NEE31*	
		NEE32*	
Medium Customers	NEE40*	NEE12	
	NEE51*	NEE21	
		NEE56	
		NEE74*	
	NEE60*		
Large Customers	NEE70^	NEE71*	NEE75
		NEE72*	NEE76
High Voltage	NEE80^	NEE81	NEE82
			NEE83
Sub transmission	NEE90^	NEE91	NEE92
			NEE94

Combination Tariffs

Tariffs	NEE11	NEE12	NEE40*
NEE30*	NEE13*	NEE16*	NEE41*
NEE31*	NEE14*	NEE17*	NEE42*
NEE32*	NEE15*	NEE18*	NEE43*

*Closed to new entrants

^ Closed and customers transferred

Closed Tariffs

Tariffs Closed & Customers Transferred

TXU Networks has not closed any tariffs in 2005

Tariffs Closed to New Entrants

TXU Networks has not closed any tariffs in 2005

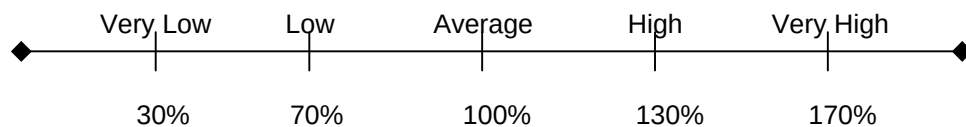


Forthcoming changes in network tariffs, prices, structure or associated criteria

Interval meters will allow TXU Networks to capture more information, allowing TXUN to create more cost reflective and sophisticated tariffs. This is a process that will start in 2006.

Impact of Network Tariffs

The following section includes a brief description of TXU's Network Tariffs and provides a comparison of the impact of 2004 and 2005 Network Tariffs on customers by using five usage levels – very low, low, average, high and very high. Average consumption is calculated by dividing energy by the number of customers.¹ The remaining usage levels are calculated by applying a percentage, as shown below, to the average rate.



To assess the impact of demand tariffs, a demand level was estimated according to the calculated consumption level in proportion to totals for the network tariff concerned. The demand charge used is the highest of either the calculated amount or the minimum demand for the tariff.

It should be noted that the calculated charges are based on TXU Networks customers and therefore are not comparable to the charges applicable to similar network tariffs for other Distribution Businesses.

2005 Network Tariff Description

Small Low Voltage Tariffs (Nominal Voltage < 1000 Volts), < 50 kVA and < 160MWh

Residential Tariffs

NEE11 – Small Residential Block Tariff

This Network Tariff applies only to residential customers who consume less than 160 MWh per annum. The minimum meter requirement for a customer on this tariff is a basic type 6 single register meter.

The Small Residential Block tariff consists of a standing charge and a block usage rate. The first block applies to all usage less than 1,020 kWh per quarter. The second block rate is higher than the first block rate and applies to all usage greater than 1,020 kWh per quarter. The consumption level of 1,020 kWh for the first block was based on the original retail Maximum Uniform Tariff GD/GR.

The two-part block tariff is targeted to allocating more of the demand-related costs to customers with larger annual energy consumption. The higher usage rate for the second block provides a pricing signal to these higher usage customers that relates to the increased demand these customers place on the network at peak times.

¹ Energy and customer numbers used relate to 2003, which are consistent with those submitted to the Essential Services Commission as part of the 2005 Network Tariff Submission.

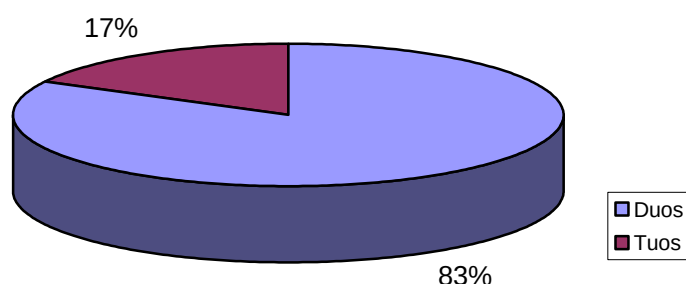


The impact of 2004 and 2005 network tariff NEE11 – Small Residential Block on customers is shown next.

	Very Low 1,424 kWh	Low 3,322 kWh	Average 4,746 kWh	High 6,170 kWh	Very High 8,069 kWh
2004	\$ 120.08	\$ 221.80	\$ 298.08	\$ 374.37	\$ 476.08
2005	\$ 119.77	\$ 219.47	\$ 294.24	\$ 369.02	\$ 468.71
Change	-0.26%	-1.05%	-1.29%	-1.43%	-1.55%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE11 - Small single rate



NEE20 – Small Residential Two Rate

The Small Residential two-rate tariff was originally based on the retail Maximum Uniform Tariff GH/GL for residential customers. These customers require, as a minimum, a basic type 6 dual register with an electronic timeswitch, capable of switching all load to off-peak overnight and at weekends.

The two-rate tariff provides customers with incentives to manage load, and is the optimum tariff for small residential customers who are able to move a high proportion of energy consumption to off-peak times over night and on weekends.

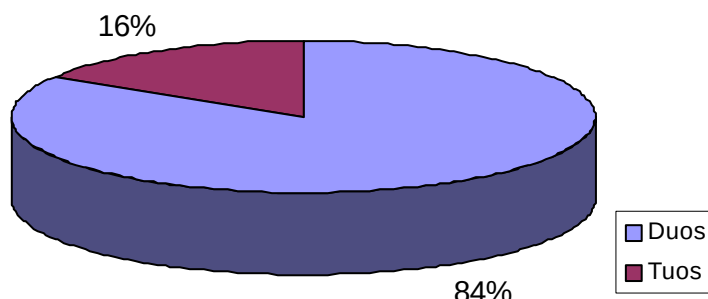
The impact of 2004 and 2005 network tariff NEE20 - Small Residential Two Rate on customers is shown below.

	Very Low 2,553 kWh	Low 5,958 kWh	Average 8,512 kWh	High 11,065 kWh	Very High 14,470 kWh
2004	\$ 154.15	\$ 253.28	\$ 327.63	\$ 401.98	\$ 501.11
2005	\$ 166.79	\$ 279.58	\$ 364.17	\$ 448.76	\$ 561.55
Change	8.20%	10.38%	11.15%	11.64%	12.06%



The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE20 - Small two rate



NEE23 – Photovoltaic Tariff

This tariff applies to small customers with grid-connected photovoltaic cells less than or equal to 2kW. Prior to 2003, these customers were placed on a standard network tariff and received payment for the electricity they generated equal to the price that was paid for electricity consumed, that is, export energy equally offset the energy consumed. The diversity of tariffs applied to these customers and offset arrangements created billing and administrative difficulties. NEE23 was introduced to formalise photovoltaic cell billing arrangements and reduce administrative complexity.

Photovoltaic cells customers continue to receive an equal offset for electricity generation, as well as an additional payment for excess generation during summer peak periods (1 November – 30 March).

The impact of 2004 and 2005 network tariff NEE23 - Photovoltaic on customers is shown below.

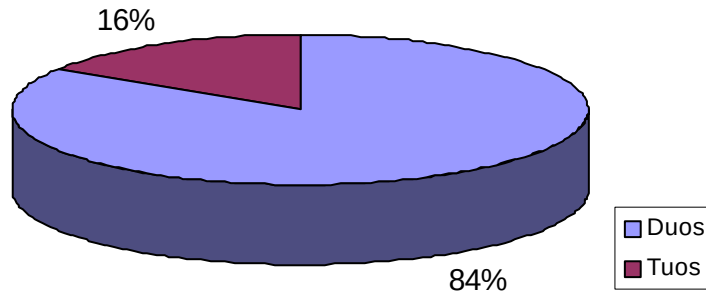
	Very Low 2,556 kWh	Low 5,964 kWh	Average 8,521 kWh	High 11,077 kWh	Very High 14,485 kWh
2004	\$ 202.21	\$ 298.23	\$ 370.24	\$ 442.25	\$ 538.26
2005	\$ 197.97	\$ 297.12	\$ 371.49	\$ 445.86	\$ 545.01
Change	-2.10%	-0.37%	0.34%	0.82%	1.25%

Note that an average offset generation rate was used for all customers.



The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE23 - Photovoltaic



Dedicated Supplies (Storage Water and Space Heating)

TXU Networks has three network tariffs for dedicated supplies. These tariffs are available for controlled loads such as storage water heating and space heating for residential and small business purposes only.

NEE30 – Small Dedicated Circuit (closed to new entrants)

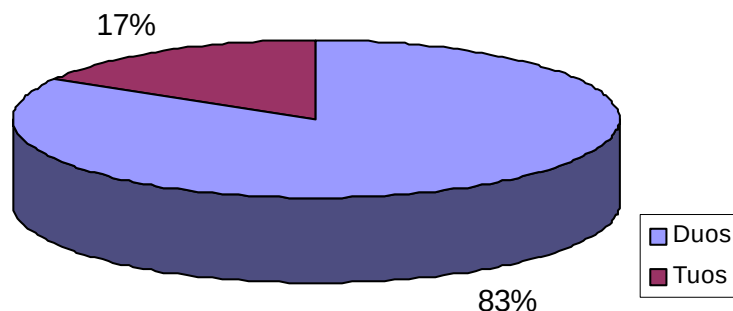
This small dedicated circuit tariff applies to customers with off-peak hot water heating between 11pm and 7am each day. The minimum meter requirements are a basic type 6 single register meter switched by timing device, or a basic type 6 dual register meter with second register switched by timing device.

The impact of 2004 and 2005 network tariff NEE30 - Small Dedicated Circuit on customers is shown below.

	Very Low 883 kWh	Low 2,059 kWh	Average 2,942 kWh	High 3,825 kWh	Very High 5,001 kWh
2004	\$ 32.86	\$ 49.48	\$ 61.94	\$ 74.40	\$ 91.02
2005	\$ 36.58	\$ 57.35	\$ 72.93	\$ 88.50	\$ 109.27
Change	11.31%	15.91%	17.73%	18.95%	20.06%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE30 - Small dedicated circuit





NEE31 – Small Dedicated Circuit Afternoon Boost (closed to new entrants)

The Small Dedicated Circuit Afternoon Boost tariff applies to customers with off-peak space heating, with or without off peak hot water. This tariff has an afternoon heating boost for three hours in addition to heating between 11pm and 7am each day.

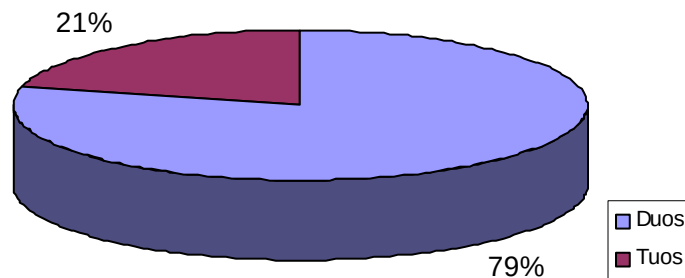
The minimum meter requirements are a basic type 6 single register meter switched by timing device, or a basic type 6 dual register meter with second register switched by timing device.

The impact of 2004 and 2005 network tariff NEE31 - Small Dedicated Circuit Afternoon Boost on customers is shown below.

	Very Low 2,416 kWh	Low 5,636 kWh	Average 8,052 kWh	High 10,468 kWh	Very High 13,689 kWh
2004	\$ 51.15	\$ 97.76	\$ 132.71	\$ 167.67	\$ 214.27
2005	\$ 58.86	\$ 115.74	\$ 158.40	\$ 201.06	\$ 257.94
Change	15.06%	18.39%	19.35%	19.92%	20.38%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE31 - Small dedicated circuit - afternoon boost



NEE32 - Dedicated Circuit 8pm to 8am (closed to new entrants)

The Small Dedicated Circuit 8pm to 8am tariff was introduced in 2001 and allows TXU Networks to heat hot water for six to eight hours at any time between 8pm and 8am. This may be in two heating blocks of three to four hours. This arrangement allows TXU Networks to manage peak loads better, and is helpful in reducing peak constraint in rural areas. The minimum meter requirements are a basic type 6 single register meter switched by timing device, or a basic type 6 dual register meter with second register switched by timing device.

TXU Networks has over 160,000 customers with dedicated circuits for off peak water heating and space heating requirements. Many of these customers are in rural areas where there are limited alternative energy supplies. As a result the TXU Networks' local network experiences high levels of demand when these appliances switch on for their overnight heating. By introducing the Dedicated Circuit 8pm to 8am tariff which has a twelve hour period available for heating TXU Networks will have the flexibility to vary these switching times without impacting on the customers heating needs. In return for allowing TXU Networks this flexibility customers will in turn receive the benefit of lower charges that are the result of being able to defer some capital investment.

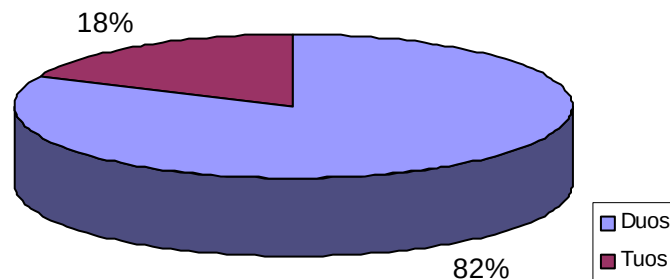


The impact of 2004 and 2005 network tariff NEE32 – Dedicated Circuit 8pm to 8am on customers is shown below.

	Very Low 907 kWh	Low 2,116 kWh	Average 3,023 kWh	High 3,930 kWh	Very High 5,139 kWh
2004	\$ 31.94	\$ 47.34	\$ 58.88	\$ 70.43	\$ 85.82
2005	\$ 35.36	\$ 54.50	\$ 68.85	\$ 83.21	\$ 102.35
Change	10.68%	15.13%	16.93%	18.15%	19.26%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE32 - Dedicated circuit 8 to 8



NEE13 – Small Residential Block Tariff & Dedicated Circuit (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Residential Block tariff and Dedicated Circuit tariffs. The rates and metering requirements are the same as the individual tariffs. It was introduced to assist in the contestable market.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE11 and NEE30.

NEE14 – Small Residential Block Tariff & Dedicated Circuit Afternoon Boost (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Residential Block tariff and Dedicated Circuit Afternoon Boost tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE11 and NEE31.

NEE15 – Small Residential Block Tariff & Dedicated Circuit 8am to 8pm (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Residential Block tariff and Dedicated Circuit 8pm to 8am tariffs. The rates and metering requirements are the same as the individual tariffs. It was introduced to assist in the contestable market.



The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE11 and NEE32.

Small Business Tariffs

NEE12 - Small Business Block Tariff

The Small Business block Tariff has been designed for TXU Networks small business customers with annual usage of less than 160MWh, and who have, as a minimum, a basic type 6 single register meter.

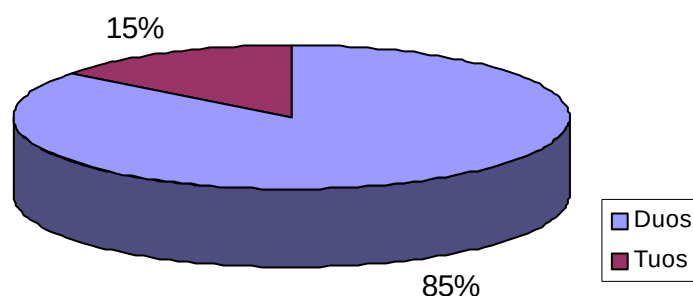
The Small Business Block tariff has lower energy charges for the first block, which applies to the first 1,020 kWh per quarter, to reflect the lower contribution these small business customers make to peak demand. As consumption increases the contribution to peak demand also increases. By having a higher rate for the second block (all consumption greater than 1,020 kWh) TXU Networks is able to recover the higher costs associated with greater peak demand on the system, and provide appropriate pricing signals to customers.

The impact of 2004 and 2005 network tariff NEE12 - Small Business on customers is shown below.

	Very Low 1,710 kWh	Low 3,991 kWh	Average 5,701 kWh	High 7,412 kWh	Very High 9,692 kWh
2004	\$ 167.31	\$ 309.59	\$ 416.29	\$ 523.00	\$ 665.28
2005	\$ 162.84	\$ 303.95	\$ 409.78	\$ 515.62	\$ 656.73
Change	-2.67%	-1.82%	-1.56%	-1.41%	-1.28%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE12 - Small business single rate



NEE21 - Small Business two rate

TXU Networks has over 26,000 small business customers who are on the Small Business two-rate tariff. Customers on this tariff require, as a minimum, a basic type 6 dual register with an electronic timeswitch, capable of switching all load to off-peak overnight and at weekends.

The Small Business Tariff was opened in 2001 and is intended for businesses that use less than 160MWh per annum. These businesses tend to operate seven days a week and have a high proportion of overnight and weekend consumption. The Small Business tariff was opened to facilitate appropriate pricing to reflect the demand characteristics of these customers.

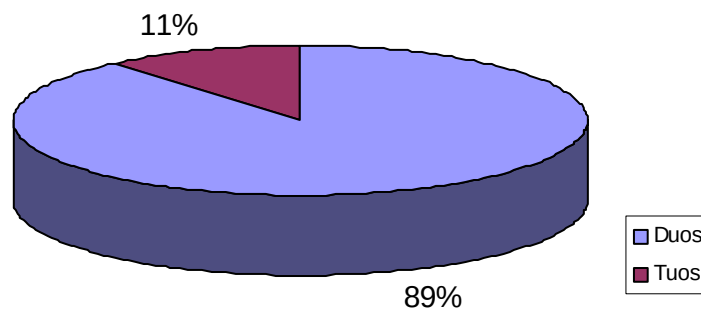


The impact of 2004 and 2005 network tariff NEE21 - Small Business Two Rate on customers is shown below.

	Very Low 6,964 kWh	Low 16,250 kWh	Average 23,214 kWh	High 30,178 kWh	Very High 39,464 kWh
2004	\$ 580.67	\$ 1,110.89	\$ 1,508.55	\$ 1,906.22	\$ 2,436.44
2005	\$ 624.82	\$ 1,205.92	\$ 1,641.75	\$ 2,077.57	\$ 2,658.67
Change	7.60%	8.56%	8.83%	8.99%	9.12%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE21 - Small business two rate



NEE16 – Small Business Block Tariff & Dedicated Circuit (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Business Block tariff and Dedicated Circuit tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE12 and NEE30.

NEE17 – Small Business Block Tariff & Dedicated Circuit Afternoon Boost (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Business Block tariff and Dedicated Circuit Afternoon Boost tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE12 and NEE31.

NEE18 – Small Business Single Rate & Dedicated Circuit 8am to 8pm (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Small Business Block tariff and Dedicated Circuit 8am to 8pm tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE12 and NEE32.



Medium Customer Tariffs > 50 kVA & < 150 kVa and > 160MWh & < 400MWh

Medium customers are customers that consume between 160MWh and 400MWh per annum, with a maximum demand less than 150 kVA. Examples of this customer class are medium sized commercial and light industrial businesses.

NEE40 – Medium Single Rate Tariff (closed to new entrants)

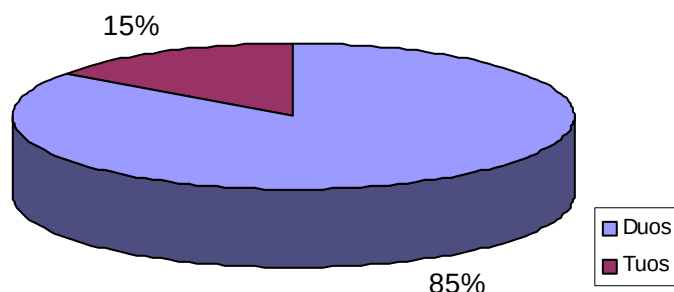
The Medium Single Rate tariff is applicable to business and industrial customers that consume between 160MWh and 400MWh per annum. The minimum meter requirements are a basic type 6 single register meter. This network tariff is most suitable for business customers with little overnight or weekend usage.

The impact of 2004 and 2005 network tariff NEE40 – Medium Single Rate on customers is shown below.

	Very Low 3,141 kWh	Low 7,329 kWh	Average 10,470 kWh	High 13,611 kWh	Very High 17,799 kWh
2004	\$ 257.45	\$ 519.11	\$ 715.36	\$ 911.61	\$ 1,173.27
2005	\$ 273.57	\$ 561.54	\$ 777.51	\$ 993.49	\$ 1,281.45
Change	6.26%	8.17%	8.69%	8.98%	9.22%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE40 - Medium single rate



NEE41 – Medium Business Single Rate & Dedicated Circuit (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Medium Business Single Rate tariff and Dedicated Circuit tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

This network tariff is most suitable for business customers with little overnight or weekend usage, and customers with off-peak hot water services between 11pm and 7am each day.

The metering requirements are basic type 6 dual register meter, with one register capable of being switched for the dedicated circuit.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE40 and NEE30.



NEE42 – Medium Business Single Rate & Dedicated Circuit Afternoon Boost (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Medium Business Single Rate tariff and Dedicated Circuit Afternoon Boost tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

This network tariff is most suitable for business customers with little overnight or weekend usage, and customers with off-peak load and off-peak space heating services between 11pm and 7am each day.

The metering requirements are basic type 6 dual register meter, with one register capable of being switched for the dedicated circuit.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE40 and NEE31.

NEE43 – Medium Business Single Rate & Dedicated Circuit 8am to 8pm (closed to new entrants)

This tariff was introduced in 2002. It is a combination of the Medium Business Single Rate tariff and Dedicated Circuit 8am to 8pm tariffs. The rates and metering requirements are the same as the individual tariffs. This tariff was introduced to assist in the contestable market.

This network tariff is most suitable for business customers with little overnight or weekend usage, and customers with off-peak load and off-peak hot water heating services between 8pm and 8am each day.

The metering requirements are basic type 6 dual register meter, with one register capable of being switched for the dedicated circuit.

The impact of this network tariff on customers is equivalent to the impact of Network Tariffs NEE40 and NEE32.

NEE51 – Medium Two Rate 5-day (closed to new entrants)

The Medium Two Rate 5-day tariff is suitable for businesses with some overnight or weekend usage. Customers benefit from off-peak evening prices and weekend prices.

Customers on this tariff require, as a minimum, a basic type 6 dual register with an electronic timeswitch, capable of switching all load to off-peak overnight and at weekends.

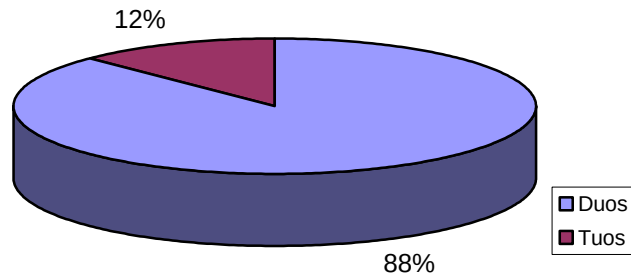
The impact of 2004 and 2005 network tariff NEE51 - Medium Two Rate 5-day on customers is shown below.

	Very Low 35,042 kWh	Low 81,764 kWh	Average 116,806 kWh	High 151,848 kWh	Very High 198,570 kWh
2004	\$ 2,198.17	\$ 4,887.46	\$ 6,904.43	\$ 8,921.40	\$ 11,610.69
2005	\$ 2,384.25	\$ 5,334.45	\$ 7,547.10	\$ 9,759.75	\$ 12,709.95
Change	8.47%	9.15%	9.31%	9.40%	9.47%



The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE51 - Medium two rate 5 day



NEE52 – Unmetered Supplies

The unmetered supplies tariff applies to approved supplies up to 50 watts, public lighting, traffic control system and other nominated installations.

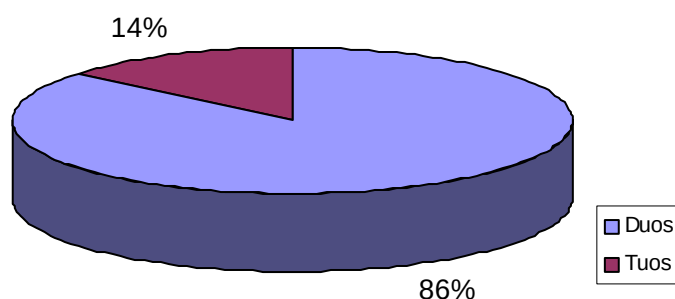
There is no physical meter for this tariff. Contestable metrology procedures apply to public lighting installations and deemed loads for all other installations to determine usage.

The impact of 2004 and 2005 network tariff NEE52 – Unmetered Supplies on customers is shown below.

	Very Low 245,465 kWh	Low 572,752 kWh	Average 818,217 kWh	High 1,063,682 kWh	Very High 1,390,969 kWh
2004	\$ 10,838.50	\$ 25,289.84	\$ 36,128.34	\$ 46,966.84	\$ 61,418.18
2005	\$ 11,082.52	\$ 25,859.22	\$ 36,941.75	\$ 48,024.27	\$ 62,800.97
Change	2.25%	2.25%	2.25%	2.25%	2.25%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE52 - Unmetered





NEE54 - Small & Medium two rate 5 day Interruptible

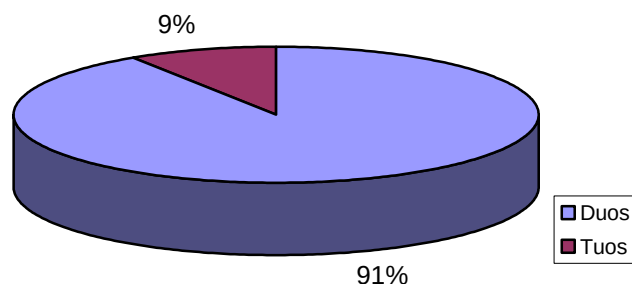
TXU Networks has over 26,000 customers on small and medium two rate five day tariffs, a further 9,000 customers are on medium two rate seven day tariffs. These customers represent a significant portion of TXU Networks load in the rural network where there are a number of emerging supply constraints. Where these customers are able to allow TXU Networks to switch off a portion of their load for short periods of time during times of high local demand the benefit will be passed on to these customers through lower network charges. The maximum decrease in charges has been set at 12% of the peak energy charge that currently applies to Network Tariffs NEE21 and NEE51.

There are no customers currently on network tariff NEE54 - Small & Medium Two Rate 5 Day. The following table shows the change for this tariff using similar usage to NEE51.

	Very Low 35,042 kWh	Low 81,764 kWh	Average 116,806 kWh	High 151,848 kWh	Very High 198,570 kWh
2004	\$ 2,100.49	\$ 4,659.53	\$ 6,578.82	\$ 8,498.11	\$ 11,057.16
2005	\$ 1,925.86	\$ 4,264.87	\$ 6,019.13	\$ 7,773.39	\$ 10,112.40
Change	-8.31%	-8.47%	-8.51%	-8.53%	-8.54%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user

NEE54 - Medium two rate 5 day



NEE55 – Snowfields Tariff

The Snowfields tariff was introduced in 2002. It applies to customers in specified alpine regions with off-peak (non-winter) consumption, that consume less than 400MWh per annum with maximum demand less than 150kVA.

The Snowfields tariff has been designed to reflect customer usage patterns in the alpine regions. The peak period is from the 1st of May to 30th September each year, and the off-peak period applies to all other times. The Snowfield tariff provides opportunities for tourism and businesses in alpine regions to expand during traditional low-season periods at reduced energy rates.

Customers in alpine regions who use off-peak electricity will benefit from a significantly reduced off-peak charge.

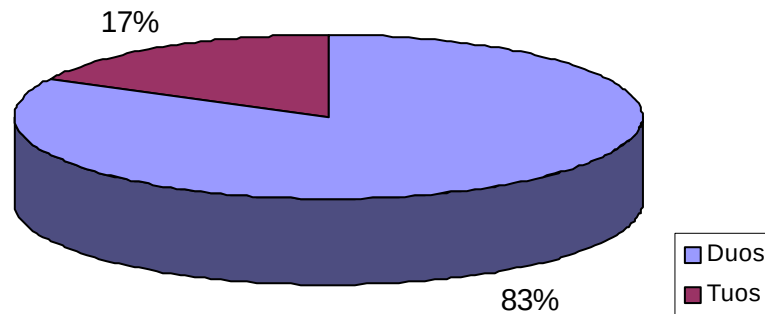
The minimum metering requirement is a basic type 6 single register meter.



As there is only one customer presently on network tariff NEE55, it is not considered appropriate to include an impact analysis. No changes were made to the distribution tariff component of network tariff NEE55 in 2005.

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE55 - Snowfields



NEE56 – Medium Demand Multi-rate Tariff

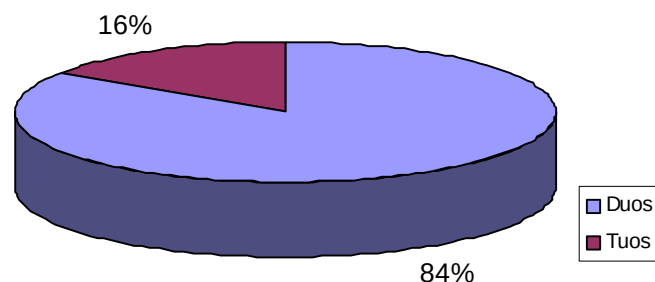
This tariff was introduced in 2003 and is applicable to all customers with metering installations capable of recording kVA, as required for all new customers consuming greater than 160 MWh per annum. The structure of this tariff ensures that customers are charged appropriately for the network unavoidable costs associated with these customers and, through the introduction of a shoulder rate, gives pricing signals that more appropriately capture the system load profile of TXU's network.

The impact of 2004 and 2005 network tariff NEE56 – Medium Demand Multi-rate on customers is shown below.

	Very Low 35,042 kWh	Low 81,764 kWh	Average 116,806 kWh	High 151,848 kWh	Very High 198,570 kWh
2004	\$ 2,992.46	\$ 4,652.00	\$ 5,896.66	\$ 7,141.32	\$ 8,800.86
2005	\$ 2,970.56	\$ 4,717.70	\$ 6,028.05	\$ 7,338.41	\$ 9,085.55
Change	-0.73%	1.41%	2.23%	2.76%	3.23%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE56 - Medium demand multi-rate





NEE60 – Medium Two Rate 7-day Tariff (closed to new entrants)

Medium two rate 7-day tariff is most suited to 5-day operational businesses. The peak charge applies between 7pm and 11am, Monday to Sunday.

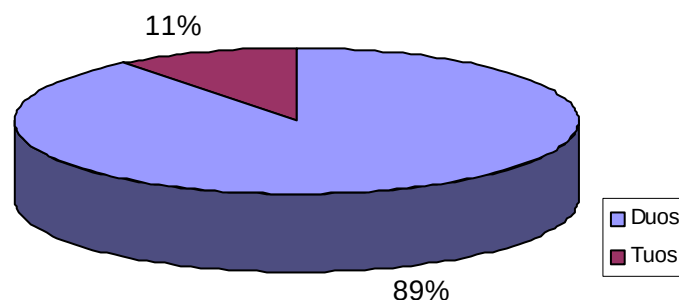
The minimum metering requirements is a basic type 6 dual register, with standard time switching capacity.

The impact of 2004 and 2005 network tariff NEE60 - Medium Two Rate 7-day on customers is shown below.

	Very Low 6,267 kWh	Low 14,624 kWh	Average 20,892 kWh	High 27,159 kWh	Very High 35,516 kWh
2004	\$ 647.59	\$ 1,241.45	\$ 1,686.84	\$ 2,132.23	\$ 2,726.09
2005	\$ 680.95	\$ 1,332.89	\$ 1,821.84	\$ 2,310.79	\$ 2,962.73
Change	5.15%	7.37%	8.00%	8.37%	8.68%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE60 - Medium two rate 7 day



Large Low Voltage Customer Tariffs > 150 kVA and > 400MWh

Large customers are those customers who consume more than 400 MWh per annum, or a demand of greater than 150 kVA. Examples of large customers are large industrial sites, commercial buildings, and large public owned enterprises.

NEE71 – LV Large < 750 MWh Tariff (closed to new entrants)

NEE71 - LV Large < 750 MWh tariff applies to all large customers who either consume between 400 and 750 MWh per annum and more than 150 kVA, or less than 280 kVA and more than 750 MWh.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.



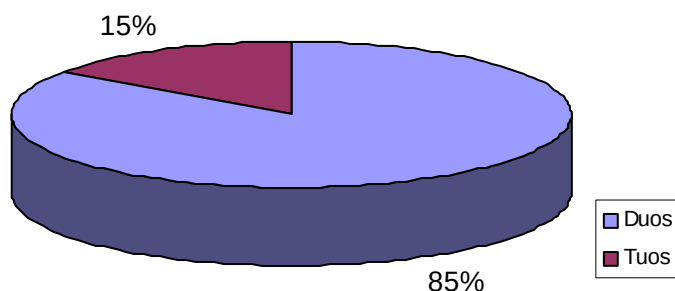
The impact of 2004 and 2005 network tariff NEE71- LV Large on customers is shown below.

	Very Low N/a	Low 485,342 kWh	Average 693,345 kWh	High 901,349 kWh	Very High 1,178,687 kWh
2004		\$ 27,385.36	\$ 37,812.23	\$ 48,239.38	\$ 62,142.24
2005		\$ 29,991.86	\$ 41,511.88	\$ 53,032.18	\$ 68,392.59
Change		9.52%	9.78%	9.94%	10.06%

No comparison is given for 'Very Low' consumption, as this would be below the minimum consumption for network tariff NEE71.

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE71 - LV Large <750 kVA



NEE72 – LV Large > 750 MWh Tariff (closed to new entrants)

NEE72 - LV Large > 750 MWh tariff applies to customers who consume more than 280 kVA per annum and more than 750 MWh per annum.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

The impact of 2004 and 2005 network tariff NEE72 – LV Large on customers is shown below.

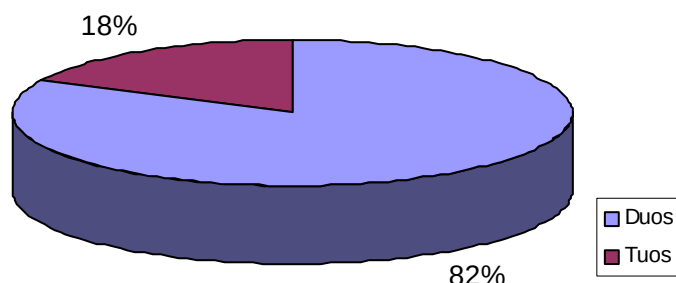
	Very Low N/a	Low 1,520,967 kWh	Average 2,172,810 kWh	High 2,824,653 kWh	Very High 3,693,777 kWh
2004		\$ 69,007.64	\$ 97,272.95	\$ 125,538.31	\$ 163,225.42
2005		\$ 76,477.25	\$ 107,919.90	\$ 139,362.60	\$ 181,286.17
Change		10.82%	10.95%	11.01%	11.06%

No comparison is given for 'Very Low' consumption, as this would be below the minimum consumption for network tariff NEE72.



The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE72 - LV Large > 750 kVA



NEE74 - LV Large Two Rate 5-day Tariff (closed to new entrants)

The LV Large two rate 5-day tariff is for network customers who consume between 400 MWh and 750 MWh, and who were originally on the franchise retail maximum uniform tariff DH/DL.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

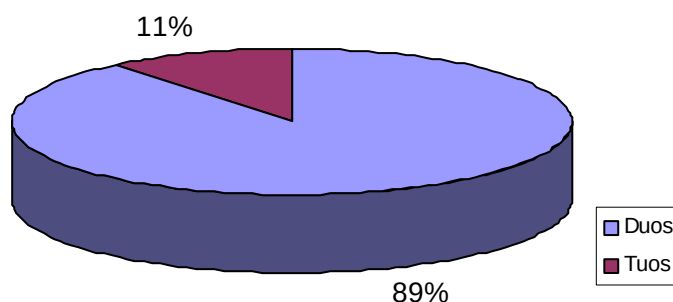
The impact of 2004 and 2005 network tariff NEE74 - Large Two Rate 5-day on customers is shown below.

	Very Low N/a	Low 397,288 kWh	Average 567,554 kWh	High 737,820 kWh	Very High 964,842 kWh
2004		\$ 27,017.80	\$ 38,510.98	\$ 50,004.15	\$ 65,328.38
2005		\$ 29,360.10	\$ 41,854.29	\$ 54,348.48	\$ 71,007.40
Change		8.67%	8.68%	8.69%	8.69%

No comparison is given for 'Very Low' consumption, as this would be below the minimum consumption for network tariff NEE74.

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE74 - Large two rate 5 day





NEE75 – LV Large Multi-rate <750 MWh Tariff

NEE75 - LV Large Multi-rate < 750 MWh tariff was introduced in 2003. NEE75 applies to all large customers who either consume between 400 and 750 MWh per annum and more than 150 kVA, or less than 280 kVA and more than 750 MWh. It includes a shoulder component, aimed at giving pricing signals that more appropriately capture the system load profile of TXU's network.

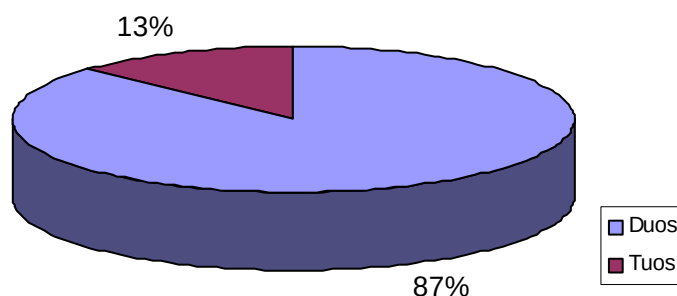
The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

The impact of 2004 and 2005 network tariff NEE75 – LV Large Multi-rate on customers is shown below.

	Very Low	Low	Average	High	Very High
	109,220 kWh	254,847 kWh	364,067 kWh	473,287 kWh	618,914 kWh
2004	\$ 9,395.41	\$ 17,909.42	\$ 24,294.41	\$ 30,679.85	\$ 39,193.28
2005	\$ 9,721.57	\$ 18,536.06	\$ 25,146.41	\$ 31,757.21	\$ 40,571.11
Change	3.47%	3.50%	3.51%	3.51%	3.52%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE75 - Large multi-rate <750 kVA



NEE76 – LV Large Multi-rate >750 MWh Tariff

NEE76 - LV Large Multi-rate > 750 MWh tariff was introduced in 2003. NEE76 applies to all large customers who consume more than 280 kVA per annum and more than 750 MWh per annum. It includes a shoulder component, aimed at giving pricing signals that more appropriately capture the system load profile of TXU's network.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

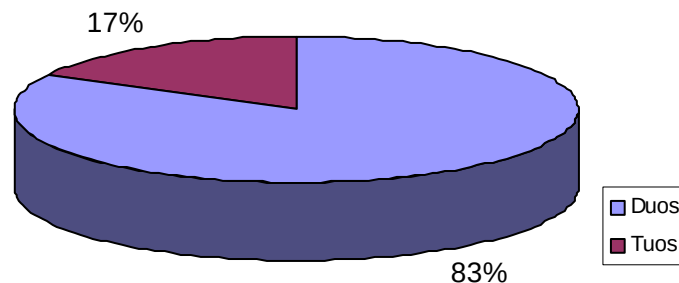


The impact of 2004 and 2005 network tariff NEE76 – LV Large Multi-rate on customers is shown below.

	Very Low 249,184 kWh	Low 581,429 kWh	Average 830,613 kWh	High 1,079,797 kWh	Very High 1,412,042 kWh
2004	\$ 13,782.28	\$ 28,144.83	\$ 38,916.65	\$ 49,688.32	\$ 64,050.87
2005	\$ 14,685.67	\$ 30,118.34	\$ 41,692.74	\$ 53,267.00	\$ 68,699.67
Change	6.55%	7.01%	7.13%	7.20%	7.26%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE76 - Large multi-rate >750 kVA



High Voltage Tariffs (NOMINAL VOLTAGE > 1000 VOLTS)

NEE81 – High Voltage Tariff

The High Voltage Demand tariff applies to high voltage customers such as large processors, manufacturers, and refineries. These customers receive supply at 6.6 kV or above and have a maximum demand of at least 1.15 MVA.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

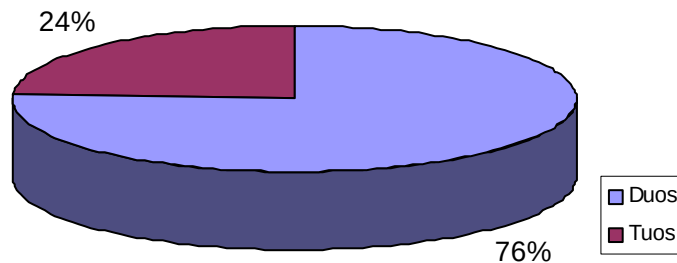
The impact of 2004 and 2005 network tariff NEE81 – High Voltage on customers is shown below.

	Very Low 2,896 MWh	Low 6,757 MWh	Average 9,653 MWh	High 12,549 MWh	Very High 16,410 MWh
2004	\$ 83,998.89	\$191,796.23	\$272,643.65	\$353,491.61	\$461,288.32
2005	\$ 92,510.42	\$211,515.67	\$300,769.02	\$390,022.91	\$509,027.52
Change	10.13%	10.28%	10.32%	10.33%	10.35%



The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE81 - HV kVA



NEE82 – Traction Tariff

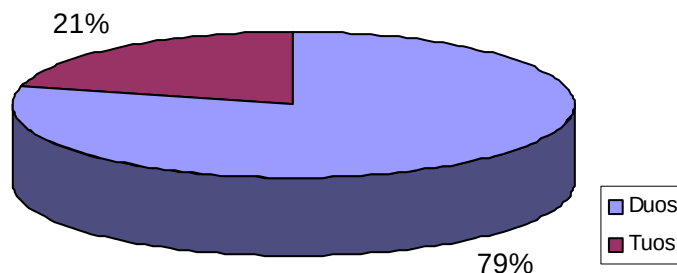
NEE82 was introduced in 2003 and includes a shoulder rate that reflects daily usage patterns. All High Voltage traction sites were reassigned to this tariff.

The impact of 2004 and 2005 network tariff NEE82 – Traction Tariff on customers is shown below.

	Very Low 1,392 MWh	Low 3,247 MWh	Average 4,639 MWh	High 6,030 MWh	Very High 7,886 MWh
2004	\$ 51,057.82	\$114,933.12	\$162,839.97	\$210,746.36	\$274,622.24
2005	\$ 55,210.82	\$124,482.65	\$176,436.90	\$228,390.69	\$297,663.12
Change	8.13%	8.31%	8.35%	8.37%	8.39%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE82 - Traction



NEE83 – Small High Voltage Demand Tariff

This tariff applies to HV (NEE81) customers who have only small levels of consumption and demand. Assignment to this tariff is limited to customers with low load and energy requirements.

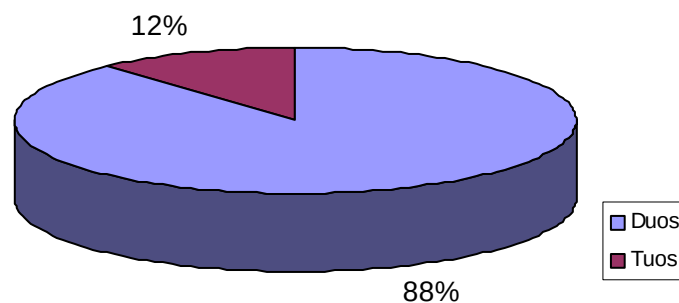


The impact of 2004 and 2005 network tariff NEE83 - Small High Voltage Demand on customers is shown below.

	Very Low 303 MWh	Low 706 MWh	Average 1,009 MWh	High 1,311 MWh	Very High 1,715 MWh
2004	\$ 22,380.17	\$ 48,018.63	\$ 67,247.56	\$ 86,476.44	\$112,115.02
2005	\$ 22,969.28	\$ 49,252.42	\$ 68,964.86	\$ 88,677.25	\$114,960.51
Change	2.63%	2.57%	2.55%	2.54%	2.54%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for an average user.

NEE83 - Small HV



Sub-transmission Customer Tariffs

TXU Networks has only a small number of customers taking supply directly from the sub-transmission system. These customers are very diverse in terms of their location, the size of their load and their annual energy use. In recognition of this diversity TXU Networks has developed a pricing methodology that is based on customer's size and distance from Terminal Stations.

NEE91 – Sub-transmission Tariff

NEE91 – Sub-transmission tariff applies to customers who have a maximum demand less than 25000kVA and less than 20 km's from the terminal station.

The minimum metering requirement is an interval meter, capable of measuring kWh and kVA integrated over a 30-minute period.

NEE94 - Sub-transmission >25000kVA <20km from Terminal Station

This network tariff recognises that customers with very high load and usage located less than 20km from a Terminal Station impose a lower cost per kVA and kWh than do those with either lower load and usage or longer lines required to supply them. The 20km limit was chosen, as it is consistent with other market definitions of long and short sub-transmission lines.

NEE95 - Sub-transmission <25000kVA >20km from Terminal Station

TXU Networks owns and operates an extensive sub-transmission system in South west Gippsland and East Gippsland out of Morwell West Terminal Station and in North East Victoria out of Glenrowan Terminal Station, Mount Beauty Terminal Station and Thomastown Terminal Station. The urban network in the outer eastern suburbs of Melbourne is also quite extensive.

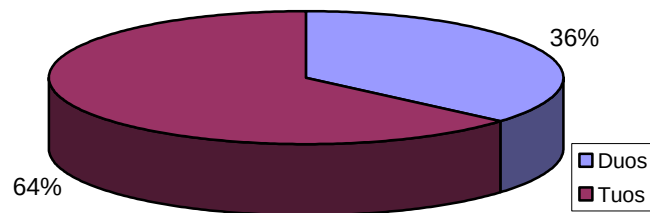


Sub-transmission customers require a significant portion of these line assets to be held in reserve for their use. Furthermore, if high voltage customers transfer to sub-transmission supply they reduce the utilisation of significant portions of zone substation investment in these areas. TXU Networks has introduced this tariff in recognition of the higher costs associated with supplying remote sub-transmission customers as opposed to those that are relatively close to a Terminal Station.

The impact of 2004 and 2005 subtransmission tariffs on customers is shown below as a single average.²

	Average
	82,445 MWh
2004	\$ 647,755.87
2005	\$ 902,498.56
Change	39.33%

The chart below shows 2005 DUoS and TUoS charges as a proportion of the network charge for subtransmission customers.



² A single average is given for subtransmission customers as further disaggregated information may be commercially sensitive.



Rules Applying to Demand Tariffs

For the purposes of determining a customer's Maximum Demand for Network Tariffs TXU Networks has developed a number of rules. For 2005 these rules are unchanged from 2004 and are set out in Attachment 5. The Network Tariffs are set out in Attachment 3.

Rules Applying to Reassignment of Network Tariffs

Provisions relating to the assignment of distribution customers to distribution tariffs can be found under section 2.1 of the Essential Services Commission *Electricity Distribution Price Determination 2001 – 2005, Volume II Price Controls*.

As part of its 2002 Network Tariff Submission, TXU Networks requested the Essential Services Commission to approve a tariff condition that customers seeking tariff reassignment must remain on the reassigned tariff for a minimum 12-month period. This request was approved and a 12-month timeframe now applies to all tariff reassignment requests, with exceptions made at TXU Networks' discretion. For example, TXU may waive this requirement where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on a customer.

This condition prevents customers changing tariffs to take advantage of seasonal variations in prices according to their individual load, thereby bypassing payment that reflects use of the distribution network over a full 12-month cycle.

Avoidable Cost of Service and Stand Alone Cost Considerations.

The ESC requires Distribution Businesses to have regard for the avoidable costs of serving distribution customers and the stand-alone cost of providing the service. The avoidable cost of service is considered to be the marginal cost of supply and the stand alone cost is the price for which the customer could find the equivalent service from an alternative source.

TXU Networks uses a tariff cost allocation model that collates all the costs associated with the network. These include, the capital costs – return on capital, and depreciation; operating costs – network management and administration costs, maintenance costs, customer administration costs. These costs are allocated to each of the Network Tariffs on the basis of customer numbers, energy consumption, transformation level, and contribution to local and system peak demands.

Customer costs are converted to standing charges on the basis of the annualised cost per customer. The annualised costs associated with the common use of the network are converted to a rate per kWh for both the peak and off peak periods. The annualised costs associated with customers' contribution to peak loading is converted to a rate per kVA and, where tariffs are energy only tariffs, this rate is then expressed as a rate per kWh and added to the peak energy component.

TXU Networks model treats Transmission charges in a similar manner, however the total annualised cost is converted to a rate per kWh and applied to energy use only. The off-peak price for transmission charges reflects the TUoS General charge and Common Service charge for all units of energy in the network.

In order to comply with rebalancing requirements it may sometimes be necessary to make some adjustments to some Network Tariffs or Network Tariff components that are not in line with TXU Networks' tariff model. Such adjustments are minor and TXU Networks' Network Tariffs do not breach either the upper or lower limit as required by the Regulator.



Annual adjustment Variables

Adjustment variables such as CPI and S-factor

CPI	2.3%
S Factor	-2.0457%

Effect on individual DUoS tariffs

Rebalancing control summary

	Movement
NEE11 - Small single rate	-7.4%
NEE12 - Small business single rate	-6.7%
NEE20 - Small two rate	3.5%
NEE21 - Small business two rate	4.4%
NEE23 – Photovoltaic	-7.2%
NEE30 - Small dedicated circuit	4.2%
NEE31 - Small dedicated circuit - afternoon boost	1.9%
NEE32 - Dedicated circuit 8 to 8	2.2%
NEE40 - Medium single rate	4.3%
NEE51 - Medium two rate 5 day	4.4%
NEE54 - Medium two rate 5 day interruptible	-9.4%
NEE55 – Snowfields	4.2%
NEE56 - Medium demand multi-rate	-4.4%
NEE60 - Medium two rate 7 day	4.4%
NEE52 – Unmetered	-5.0%
NEE71 - LV Large <750 kVA	4.4%
NEE72 - LV Large > 750 kVA	4.3%
NEE74 - Large two rate 5 day	4.4%
NEE75 - Large multi-rate <750 kVA	-1.3%
NEE76 - Large multi-rate >750 kVA	-0.0%
NEE81 - HV kVA	-0.8%
NEE82 – Traction	-0.7%
NEE83 - Small HV	-2.3%
NEE91 - ST kVA	-0.0%
NEE94 - Subtransmission demand	-0.1%
NEE95 - Subtransmission demand	-0.0%

Rationale for amendment

Off Peak charges have been increased in order to produce more cost reflective prices. Significant portions of the TXU High Voltage Network have peak demands that occur between 11:00pm and 2:00am. This has become a driver of costs associated with investment required to meet capacity demands in some areas. This adjustment may result in charges for customers on tariffs that have a significant Off peak component to increase at a rate that is above the average for all tariffs.

In the case of some medium and large customer tariffs where increases are above the average alternative more cost reflective tariffs may be available for customers to seek re-assignment to. These tariffs include a shoulder component to encourage customers to shift load away from the early morning and late afternoon system peaks.



Attachment 1

SCHEDULE OF NETWORK USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Small Customer Tariffs

Applies to < 90kVA & < 160 MWh/pa

NEE11 Small Residential single rate

Franchise Tariffs GD,GR

Standing Charge	\$/customer pa	\$ 45.00
Energy - First 1020/Quarter	c/kWh	5.064
Energy - Balance	c/kWh	5.664

NEE12 Small Business single rate

Franchise Tariffs B,E,G,N

Standing Charge	\$/customer pa	\$ 57.00
Energy - First 1020/Quarter	c/kWh	5.748
Energy - Balance	c/kWh	6.453

NEE13 Small Residential single rate & Dedicated Circuit (closed to new entrants)

Franchise Tariffs GD,GR & Y6,YT,Y8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 66.00
Energy - First 1020/Quarter	c/kWh	5.064
Energy - Balance	c/kWh	5.664
Off Peak Energy	c/kWh	1.765

NEE14 Small Residential single rate & Dedicated Circuit - afternoon boost (closed to new entrants)

Franchise Tariffs GD,GR & J,J6,JT,J8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 61.20
Energy - First 1020/Quarter	c/kWh	5.064
Energy - Balance	c/kWh	5.664
Off Peak Energy	c/kWh	1.766

NEE15 Small Residential single rate & Dedicated circuit 8 to 8 (closed to new entrants)

Franchise Tariffs GD,GR & Y6,YT,Y8

Off Peak - 6 or 8 hrs 8:00PM to 8:00AM each day

Standing Charge	\$/customer pa	\$ 66.00
Energy - First 1020/Quarter	c/kWh	5.064
Energy - Balance	c/kWh	5.664
Off Peak Energy	c/kWh	1.583

NEE16 Small Business single rate & Dedicated Circuit (closed to new entrants)

Franchise Tariffs B,E,G,N & Y6,YT,Y8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 78.00
Energy - First 1020/Quarter	c/kWh	5.748
Energy - Balance	c/kWh	6.453
Off Peak Energy	c/kWh	1.765



Attachment 1

SCHEDULE OF NETWORK USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE17 *Small Business single rate & Dedicated Circuit - afternoon boost (closed to new entrants)*

Franchise Tariffs B,E,G,N & J,J6,JT,J8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 73.20
Energy - First 1020/Quarter	c/kWh	5.748
Energy - Balance	c/kWh	6.453
Off Peak Energy	c/kWh	1.766

NEE18 *Small Business single rate & Dedicated circuit 8 to 8 (closed to new entrants)*

Franchise Tariffs B,E,G,N & Y6,YT,Y8

Off Peak - 6 or 8 hrs 8:00PM to 8:00AM each day

Standing Charge	\$/customer pa	\$ 78.00
Energy - First 1020/Quarter	c/kWh	5.748
Energy - Balance	c/kWh	6.453
Off Peak Energy	c/kWh	1.583

NEE20 *Small Residential two rate*

Franchise Tariffs GH/GL

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 82.20
Peak Energy	c/kWh	6.166
Off Peak Energy	c/kWh	1.846

NEE21 *Small Business two rate*

Franchise Tariffs DH/DL

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 189.00
Peak Energy	c/kWh	8.904
Off Peak Energy	c/kWh	3.033

NEE23 *Photovoltaic*

Franchise Tariffs GH/GL

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Summer demand - 1 November to 30 March

Standing Charge	\$/customer pa	\$ 123.60
Peak Energy	c/kWh	5.474
Off Peak Energy	c/kWh	1.560
Summer peak payment	c/kWh	3.636

NEE30 *Dedicated circuit (closed to new entrants)*

Franchise Tariffs Y6,YT,Y8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 21.00
Off Peak Energy	c/kWh	1.765



Attachment 1

SCHEDULE OF NETWORK USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE31 *Dedicated circuit – afternoon boost (closed to new entrants)*

Franchise Tariffs J,J6,JT,J8

Off Peak – 3 hours per afternoon 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 16.20
Off Peak Energy	c/kWh	1.766

NEE32 *Dedicated circuit 8 to 8 (closed to new entrants)*

Franchise Tariffs Y6,YT,Y8

Off Peak – 6 or 8 hrs 8:00PM to 8:00AM each day

Standing Charge	\$/customer pa	\$ 21.00
Off Peak Energy	c/kWh	1.583

NEE40 *Medium single rate (closed to new entrants)*

Franchise Tariffs B,E,G,N

Standing Charge	\$/customer pa	\$ 57.60
Energy - All Consumption	c/kWh	6.876

NEE41 *Medium single rate & Dedicated Circuit (closed to new entrants)*

Franchise Tariffs B,E,G,N & Y6,YT,Y8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 78.60
Peak Energy	c/kWh	6.876
Off Peak Energy	c/kWh	1.765

NEE42 *Medium single rate & Dedicated Circuit – afternoon boost (closed to new entrants)*

Franchise Tariffs B,E,G,N & J,J6,JT,J8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 73.80
Peak Energy	c/kWh	6.876
Off Peak Energy	c/kWh	1.766

NEE43 *Medium single rate & Dedicated circuit 8 to 8 (closed to new entrants)*

Franchise Tariffs B,E,G,N & J,J6,JT,J8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 78.60
Peak Energy	c/kWh	6.876
Off Peak Energy	c/kWh	1.583

Medium Customer Tariffs

Applies to > 50kVA & > 160 MWh/pa and < 400 MWh/pa

NEE51 *Medium two rate 5 Day (closed to new entrants)*

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 171.60
Peak Energy	c/kWh	8.781
Off Peak Energy	c/kWh	2.931



Attachment 1

SCHEDULE OF NETWORK USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE52 *Unmetered supplies*

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Peak Energy	c/kWh	5.962
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Off Peak Energy	c/kWh	3.887
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NEE54 *Medium two rate 5 Day Interruptible*

Available as an alternative to NEE21 or NEE51 in locations TXU Networks interruptibility infrastructure is established. Further conditions available from TXU Networks Pty Ltd

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 171.60
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Peak Energy (Max Chg 10kVA)	c/kWh	6.751
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Peak Energy (Min Chg 100kVA)	c/kWh	- 0.423
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Off Peak Energy	c/kWh	2.613
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NEE55 *Snowfields*

Peak Times – 1 May to 30 September

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 130.80
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Peak Energy	c/kWh	7.973
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Off Peak Energy	c/kWh	0.910
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NEE56 *Medium demand multi-rate*

Peak Times – 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday – Friday

Shoulder Times – 10:00AM to 4:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 1,660.20
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Peak Energy	c/kWh	4.487
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Shoulder Energy	c/kWh	3.787
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Off Peak Energy	c/kWh	2.714
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Contract Demand	\$/kVA pa	54.255
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Minimum Demand 50 kVA

NEE60 *Medium two rate 7 Day (closed to new entrants)*

Peak Times – 7:00AM to 11:00PM Monday – Sunday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 192.00
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Peak Energy	c/kWh	9.360
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Off Peak Energy	c/kWh	3.320
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Attachment 1

SCHEDULE OF NETWORK USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Large Customer Tariffs

Applies to > 150kVA & > 400 MWh/pa

NEE71 Large demand - Either > 150kVA & > 400 MWh/pa & < 750MWh/pa

Or <280kVA & >750MWh (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
Peak Energy	c/kWh	4.138
Off Peak Energy	c/kWh	2.175
Contract Demand	\$/kVA pa	58.708
Minimum Demand 150kVA		

NEE72 Large demand - > 280kVA & > 750MWh/pa (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
Peak Energy	c/kWh	3.111
Off Peak Energy	c/kWh	2.175
Contract Demand	\$/kVA pa	68.996
Minimum Demand 280kVA		

NEE74 Large two rate 5 Day (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 207.00
Peak Energy	c/kWh	10.370
Off Peak Energy	c/kWh	3.457

NEE75 Large demand multi-rate - Either > 150kVA & > 400 MWh/pa & < 750MWh/pa Or <280kVA & >750MWh

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
Peak Energy	c/kWh	3.831
Shoulder Energy	c/kWh	3.291
Off Peak Energy	c/kWh	2.087
Contract Demand	\$/kVA pa	58.696
Minimum Demand 150kVA		



Attachment 1

SCHEDULE OF NETWORK USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE76 *Large demand multi-rate - > 280kVA & > 750MWh/pa*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
Peak Energy	c/kWh	3.074
Shoulder Energy	c/kWh	2.687
Off Peak Energy	c/kWh	2.087
Contract Demand	\$/kVA pa	67.090
Minimum Demand 280kVA		

High Voltage Tariffs

Applies to 22,000 Volt supplies

NEE81 *High Voltage demand*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,256.80
Peak Energy	c/kWh	1.651
Off Peak Energy	c/kWh	1.020
Contract Demand	\$/kVA pa	64.328
Minimum Demand 1150kVA		

NEE82 *Traction*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,256.80
Peak Energy	c/kWh	1.846
Shoulder Energy	c/kWh	1.613
Off Peak Energy	c/kWh	1.104
Contract Demand	\$/kVA pa	59.889
Minimum Demand 1150kVA		

NEE83 *Small High Voltage demand*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,256.80
Peak Energy	c/kWh	7.951
Shoulder Energy	c/kWh	6.549
Off Peak Energy	c/kWh	1.116
Contract Demand	\$/kVA pa	12.000
Minimum Demand 150kVA		



Attachment 1

SCHEDULE OF NETWORK USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Subtransmission Tariffs

Applies to 66,000 Volt supplies

NEE91 Subtransmission demand - <25000kVA and < 20km from Terminal Station

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 18,674.40
Peak Energy	c/kWh	1.141
Off Peak Energy	c/kWh	0.585
Contract Demand	\$/kVA pa	9.701
Minimum Demand 10500kVA		

NEE94 Subtransmission demand - >25000kVA and < 20km from Terminal Station

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 18,674.40
Peak Energy	c/kWh	1.103
Off Peak Energy	c/kWh	0.585
Contract Demand	\$/kVA pa	6.674
Minimum Demand 25000kVA		

NEE95 Subtransmission demand - <25000kVA and > 20km from Terminal Station

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 18,674.40
Peak Energy	c/kWh	1.190
Off Peak Energy	c/kWh	0.586
Contract Demand	\$/kVA pa	8.926
Minimum Demand 10500kVA		



Attachment 2

SCHEDULE OF DISTRIBUTION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Small Customer Tariffs

Applies to < 90kVA & < 160 MWh/pa

NEE11 Small Residential single rate

Franchise Tariffs GD,GR

Standing Charge	\$/customer pa	\$ 45.00
Energy - First 1020/Quarter	c/kWh	4.001
Energy - Balance	c/kWh	4.601

NEE12 Small Business single rate

Franchise Tariffs B,E,G,N

Standing Charge	\$/customer pa	\$ 57.00
Energy - First 1020/Quarter	c/kWh	4.704
Energy - Balance	c/kWh	5.409

NEE13 Small Residential single rate & Dedicated Circuit (closed to new entrants)

Franchise Tariffs GD,GR & Y6,YT,Y8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 66.00
Energy - First 1020/Quarter	c/kWh	4.001
Energy - Balance	c/kWh	4.601
Off Peak Energy	c/kWh	1.352

NEE14 Small Residential single rate & Dedicated Circuit - afternoon boost (closed to new entrants)

Franchise Tariffs GD,GR & J,J6,JT,J8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 61.20
Energy - First 1020/Quarter	c/kWh	4.001
Energy - Balance	c/kWh	4.601
Off Peak Energy	c/kWh	1.353

NEE15 Small Residential single rate & Dedicated circuit 8 to 8 (closed to new entrants)

Franchise Tariffs GD,GR & Y6,YT,Y8

Off Peak - 6 or 8 hrs 8:00PM to 8:00AM each day

Standing Charge	\$/customer pa	\$ 66.00
Energy - First 1020/Quarter	c/kWh	4.001
Energy - Balance	c/kWh	4.601
Off Peak Energy	c/kWh	1.170

NEE16 Small Business single rate & Dedicated Circuit (closed to new entrants)

Franchise Tariffs B,E,G,N & Y6,YT,Y8

Off Peak - 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 78.00
Energy - First 1020/Quarter	c/kWh	4.704
Energy - Balance	c/kWh	5.409
Off Peak Energy	c/kWh	1.352



Attachment 2

SCHEDULE OF DISTRIBUTION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE17 *Small Business single rate & Dedicated Circuit – afternoon boost (closed to new entrants)*

Franchise Tariffs B,E,G,N & J,J6,JT,J8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 73.20
Energy – First 1020/Quarter	c/kWh	4.704
Energy – Balance	c/kWh	5.409
Off Peak Energy	c/kWh	1.353

NEE18 *Small Business single rate & Dedicated circuit 8 to 8 (closed to new entrants)*

Franchise Tariffs B,E,G,N & Y6,YT,Y8

Off Peak – 6 or 8 hrs 8:00PM to 8:00AM each day

Standing Charge	\$/customer pa	\$ 78.00
Energy – First 1020/Quarter	c/kWh	4.704
Energy – Balance	c/kWh	5.409
Off Peak Energy	c/kWh	1.170

NEE20 *Small Residential two rate*

Franchise Tariffs GH/GL

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 82.20
Peak Energy	c/kWh	5.215
Off Peak Energy	c/kWh	1.300

NEE21 *Small Business two rate*

Franchise Tariffs DH/DL

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 189.00
Peak Energy	c/kWh	7.927
Off Peak Energy	c/kWh	2.487

NEE23 *Photovoltaic*

Franchise Tariffs GH/GL

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Summer demand – 1 November to 30 March

Standing Charge	\$/customer pa	\$ 123.60
Peak Energy	c/kWh	4.545
Off Peak Energy	c/kWh	1.014
Summer peak payment	c/kWh	3.636

NEE30 *Dedicated circuit (closed to new entrants)*

Franchise Tariffs Y6,YT,Y8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 21.00
Off Peak Energy	c/kWh	1.352



Attachment 2

SCHEDULE OF DISTRIBUTION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE31 *Dedicated circuit – afternoon boost (closed to new entrants)*

Franchise Tariffs J,J6,JT,J8

Off Peak – 3 hours per afternoon 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 16.20
Off Peak Energy	c/kWh	1.353

NEE32 *Dedicated circuit 8 to 8 (closed to new entrants)*

Franchise Tariffs Y6,YT,Y8

Off Peak – 6 or 8 hrs 8:00PM to 8:00AM each day

Standing Charge	\$/customer pa	\$ 21.00
Off Peak Energy	c/kWh	1.170

NEE40 *Medium single rate (closed to new entrants)*

Franchise Tariffs B,E,G,N

Standing Charge	\$/customer pa	\$ 57.60
Energy - All Consumption	c/kWh	5.763

NEE41 *Medium single rate & Dedicated Circuit (closed to new entrants)*

Franchise Tariffs B,E,G,N & Y6,YT,Y8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 78.60
Peak Energy	c/kWh	5.763
Off Peak Energy	c/kWh	1.352

NEE42 *Medium single rate & Dedicated Circuit – afternoon boost (closed to new entrants)*

Franchise Tariffs B,E,G,N & J,J6,JT,J8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 73.80
Peak Energy	c/kWh	5.763
Off Peak Energy	c/kWh	1.353

NEE43 *Medium single rate & Dedicated circuit 8 to 8 (closed to new entrants)*

Franchise Tariffs B,E,G,N & J,J6,JT,J8

Off Peak – 11:00PM to 7:00AM each day

Standing Charge	\$/customer pa	\$ 78.60
Peak Energy	c/kWh	5.763
Off Peak Energy	c/kWh	1.170

Medium Customer Tariffs

Applies to > 50kVA & > 160 MWh/pa and < 400 MWh/pa

NEE51 *Medium two rate 5 Day (closed to new entrants)*

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 171.60
Peak Energy	c/kWh	7.788
Off Peak Energy	c/kWh	2.385



Attachment 2

SCHEDULE OF DISTRIBUTION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE52 *Unmetered supplies*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Peak Energy	c/kWh	5.163
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Off Peak Energy	c/kWh	3.341
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NEE54 *Medium two rate 5 Day Interruptible*

Available as an alternative to NEE21 or NEE51 in locations TXU Networks interruptability infrastructure is established. Further conditions available from TXU Networks Pty Ltd

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 171.60
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Peak Energy (Max Chg 10kVA)	c/kWh	6.340
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Peak Energy (Min Chg 100kVA)	c/kWh	- 0.380
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Off Peak Energy	c/kWh	2.067
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NEE55 *Snowfields*

Peak Times - 1 May to 30 September

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 130.80
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Peak Energy	c/kWh	6.690
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Off Peak Energy	c/kWh	0.364
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NEE56 *Medium demand multi-rate*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 1,660.20
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Peak Energy	c/kWh	3.500
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Shoulder Energy	c/kWh	2.800
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Off Peak Energy	c/kWh	2.168
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Contract Demand	\$/kVA pa	54.255
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Minimum Demand 50 kVA

NEE60 *Medium two rate 7 Day (closed to new entrants)*

Peak Times - 7:00AM to 11:00PM Monday - Sunday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 192.00
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Peak Energy	c/kWh	8.311
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Off Peak Energy	c/kWh	2.774
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Attachment 2

SCHEDULE OF DISTRIBUTION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Large Customer Tariffs

Applies to > 150kVA & > 400 MWh/pa

NEE71 Large demand - Either > 150kVA & > 400 MWh/pa & < 750MWh/pa

Or <280kVA & >750MWh (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
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Peak Energy	c/kWh	3.004
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Off Peak Energy	c/kWh	1.629
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Contract Demand	\$/kVA pa	58.708
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Minimum Demand 150kVA

NEE72 Large demand - > 280kVA & > 750MWh/pa (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
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Peak Energy	c/kWh	1.982
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Off Peak Energy	c/kWh	1.629
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Contract Demand	\$/kVA pa	68.996
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Minimum Demand 280kVA

NEE74 Large two rate 5 Day (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 207.00
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Peak Energy	c/kWh	9.379
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Off Peak Energy	c/kWh	2.911
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NEE75 Large demand multi-rate - Either > 150kVA & > 400 MWh/pa & < 750MWh/pa Or <280kVA & >750MWh

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
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Peak Energy	c/kWh	2.700
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Shoulder Energy	c/kWh	2.160
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Off Peak Energy	c/kWh	1.541
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Contract Demand	\$/kVA pa	58.696
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Minimum Demand 150kVA



Attachment 2

SCHEDULE OF DISTRIBUTION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE76 *Large demand multi-rate - > 280kVA & > 750MWh/pa*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,111.00
Peak Energy	c/kWh	1.935
Shoulder Energy	c/kWh	1.548
Off Peak Energy	c/kWh	1.541
Contract Demand	\$/kVA pa	67.090
Minimum Demand 280kVA		

High Voltage Tariffs

Applies to 22,000 Volt supplies

NEE81 *High Voltage demand*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,256.80
Peak Energy	c/kWh	0.748
Off Peak Energy	c/kWh	0.474
Contract Demand	\$/kVA pa	64.328
Minimum Demand 1150kVA		

NEE82 *Traction*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,256.80
Peak Energy	c/kWh	0.904
Shoulder Energy	c/kWh	0.671
Off Peak Energy	c/kWh	0.558
Contract Demand	\$/kVA pa	59.889
Minimum Demand 1150kVA		

NEE83 *Small High Voltage demand*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 3,256.80
Peak Energy	c/kWh	7.010
Shoulder Energy	c/kWh	5.608
Off Peak Energy	c/kWh	0.570
Contract Demand	\$/kVA pa	12.000
Minimum Demand 150kVA		



Attachment 2

SCHEDULE OF DISTRIBUTION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Subtransmission Tariffs

Applies to 66,000 Volt supplies

NEE91 *Subtransmission demand - <25000kVA and < 20km from Terminal Station*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 18,674.40
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Peak Energy	c/kWh	0.273
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Off Peak Energy	c/kWh	0.039
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Contract Demand	\$/kVA pa	9.701
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Minimum Demand 10500kVA

NEE94 *Subtransmission demand - >25000kVA and < 20km from Terminal Station*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 18,674.40
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Peak Energy	c/kWh	0.269
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Off Peak Energy	c/kWh	0.039
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Contract Demand	\$/kVA pa	6.674
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Minimum Demand 25000kVA

NEE95 *Subtransmission demand - <25000kVA and > 20km from Terminal Station*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 18,674.40
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Peak Energy	c/kWh	0.306
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Off Peak Energy	c/kWh	0.040
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Contract Demand	\$/kVA pa	8.926
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Minimum Demand 10500kVA



Attachment 3

SCHEDULE OF TRANSMISSION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Small Customer Tariffs

Applies to < 90kVA & < 160 MWh/pa

NEE11	<i>Small Residential single rate</i>		
	<i>Franchise Tariffs GD,GR</i>		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.063
	Energy – Balance	c/kWh	1.063
NEE12	<i>Small Business single rate</i>		
	<i>Franchise Tariffs B,E,G,N</i>		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.044
	Energy – Balance	c/kWh	1.044
NEE13	<i>Small Residential single rate & Dedicated Circuit (closed to new entrants)</i>		
	<i>Franchise Tariffs GD,GR & Y6,YT,Y8</i>		
	Off Peak – 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.063
	Energy – Balance	c/kWh	1.063
	Off Peak Energy	c/kWh	0.413
NEE14	<i>Small Residential single rate & Dedicated Circuit – afternoon boost (closed to new entrants)</i>		
	<i>Franchise Tariffs GD,GR & J,J6,JT,J8</i>		
	Off Peak – 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.063
	Energy – Balance	c/kWh	1.063
	Off Peak Energy	c/kWh	0.413
NEE15	<i>Small Residential single rate & Dedicated circuit 8 to 8 (closed to new entrants)</i>		
	<i>Franchise Tariffs GD,GR & Y6,YT,Y8</i>		
	Off Peak – 6 or 8 hrs 8:00PM to 8:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.063
	Energy – Balance	c/kWh	1.063
	Off Peak Energy	c/kWh	0.413
NEE16	<i>Small Business single rate & Dedicated Circuit (closed to new entrants)</i>		
	<i>Franchise Tariffs B,E,G,N & Y6,YT,Y8</i>		
	Off Peak – 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.044
	Energy – Balance	c/kWh	1.044
	Off Peak Energy	c/kWh	0.413



Attachment 3

SCHEDULE OF TRANSMISSION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE17	<i>Small Business single rate & Dedicated Circuit – afternoon boost (closed to new entrants)</i>		
	<i>Franchise Tariffs B,E,G,N & J,J6,JT,J8</i>		
	Off Peak – 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.044
	Energy – Balance	c/kWh	1.044
	Off Peak Energy	c/kWh	0.413
NEE18	<i>Small Business single rate & Dedicated circuit 8 to 8 (closed to new entrants)</i>		
	<i>Franchise Tariffs B,E,G,N & Y6,YT,Y8</i>		
	Off Peak – 6 or 8 hrs 8:00PM to 8:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy – First 1020/Quarter	c/kWh	1.044
	Energy – Balance	c/kWh	1.044
	Off Peak Energy	c/kWh	0.413
NEE20	<i>Small Residential two rate</i>		
	<i>Franchise Tariffs GH/GL</i>		
	Peak Times – 7:00AM to 11:00PM Monday – Friday		
	Off Peak – All other times		
	Standing Charge	\$/customer pa	\$ 0.00
	Peak Energy	c/kWh	0.951
	Off Peak Energy	c/kWh	0.546
NEE21	<i>Small Business two rate</i>		
	<i>Franchise Tariffs DH/DL</i>		
	Peak Times – 7:00AM to 11:00PM Monday – Friday		
	Off Peak – All other times		
	Standing Charge	\$/customer pa	\$ 0.00
	Peak Energy	c/kWh	0.977
	Off Peak Energy	c/kWh	0.546
NEE23	<i>Photovoltaic</i>		
	<i>Franchise Tariffs GH/GL</i>		
	Peak Times – 7:00AM to 11:00PM Monday – Friday		
	Off Peak – All other times		
	Summer demand – 1 November to 30 March		
	Standing Charge	\$/customer pa	\$ 0.00
	Peak Energy	c/kWh	0.929
	Off Peak Energy	c/kWh	0.546
	Summer peak payment	c/kWh	-
NEE30	<i>Dedicated circuit (closed to new entrants)</i>		
	<i>Franchise Tariffs Y6,YT,Y8</i>		
	Off Peak – 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Off Peak Energy	c/kWh	0.413



Attachment 3

SCHEDULE OF TRANSMISSION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE31	<i>Dedicated circuit - afternoon boost (closed to new entrants)</i>		
	<i>Franchise Tariffs J,J6,JT,J8</i>		
	Off Peak - 3 hours per afternoon 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Off Peak Energy	c/kWh	0.413
NEE32	<i>Dedicated circuit 8 to 8 (closed to new entrants)</i>		
	<i>Franchise Tariffs Y6,YT,Y8</i>		
	Off Peak - 6 or 8 hrs 8:00PM to 8:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Off Peak Energy	c/kWh	0.413
NEE40	<i>Medium single rate (closed to new entrants)</i>		
	<i>Franchise Tariffs B,E,G,N</i>		
	Standing Charge	\$/customer pa	\$ 0.00
	Energy - All Consumption	c/kWh	1.113
NEE41	<i>Medium single rate & Dedicated Circuit (closed to new entrants)</i>		
	<i>Franchise Tariffs B,E,G,N & Y6,YT,Y8</i>		
	Off Peak - 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Peak Energy	c/kWh	1.113
	Off Peak Energy	c/kWh	0.413
NEE42	<i>Medium single rate & Dedicated Circuit - afternoon boost (closed to new entrants)</i>		
	<i>Franchise Tariffs B,E,G,N & J,J6,JT,J8</i>		
	Off Peak - 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Peak Energy	c/kWh	1.113
	Off Peak Energy	c/kWh	0.413
NEE43	<i>Medium single rate & Dedicated circuit 8 to 8 (closed to new entrants)</i>		
	<i>Franchise Tariffs B,E,G,N & J,J6,JT,J8</i>		
	Off Peak - 11:00PM to 7:00AM each day		
	Standing Charge	\$/customer pa	\$ 0.00
	Peak Energy	c/kWh	1.113
	Off Peak Energy	c/kWh	0.413

Medium Customer Tariffs

Applies to > 50kVA & > 160 MWh/pa and < 400 MWh/pa

NEE51	<i>Medium two rate 5 Day (closed to new entrants)</i>		
	Peak Times - 7:00AM to 11:00PM Monday - Friday		
	Off Peak - All other times		
	Standing Charge	\$/customer pa	\$ 0.00
	Peak Energy	c/kWh	0.993
	Off Peak Energy	c/kWh	0.546



Attachment 3

SCHEDULE OF TRANSMISSION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE52 *Unmetered supplies*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Peak Energy	c/kWh	0.799
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Off Peak Energy	c/kWh	0.546
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NEE54 *Medium two rate 5 Day Interruptible*

Available as an alternative to NEE21 or NEE51 in locations TXU Networks interruptability infrastructure is established. Further conditions available from TXU Networks Pty Ltd

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy (Max Chg 10kVA)	c/kWh	0.411
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Peak Energy (Min Chg 100kVA)	c/kWh	- 0.043
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Off Peak Energy	c/kWh	0.546
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NEE55 *Snowfields*

Peak Times - 1 May to 30 September

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy	c/kWh	1.283
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Off Peak Energy	c/kWh	0.546
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NEE56 *Medium demand multi-rate*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy	c/kWh	0.987
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Shoulder Energy	c/kWh	0.987
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Off Peak Energy	c/kWh	0.546
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Contract Demand	\$/kVA pa	-
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Minimum Demand 50 kVA

NEE60 *Medium two rate 7 Day (closed to new entrants)*

Peak Times - 7:00AM to 11:00PM Monday - Sunday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy	c/kWh	1.049
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Off Peak Energy	c/kWh	0.546
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Attachment 3

SCHEDULE OF TRANSMISSION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Large Customer Tariffs

Applies to > 150kVA & > 400 MWh/pa

NEE71 Large demand - Either > 150kVA & > 400 MWh/pa & < 750MWh/pa

Or <280kVA & >750MWh (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy	c/kWh	1.134
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Off Peak Energy	c/kWh	0.546
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Contract Demand	\$/kVA pa	-
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Minimum Demand 150kVA

NEE72 Large demand - > 280kVA & > 750MWh/pa (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy	c/kWh	1.129
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Off Peak Energy	c/kWh	0.546
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Contract Demand	\$/kVA pa	-
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Minimum Demand 280kVA

NEE74 Large two rate 5 Day (closed to new entrants)

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy	c/kWh	0.991
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Off Peak Energy	c/kWh	0.546
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NEE75 Large demand multi-rate - Either > 150kVA & > 400 MWh/pa & < 750MWh/pa Or <280kVA & >750MWh

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
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Peak Energy	c/kWh	1.131
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Shoulder Energy	c/kWh	1.131
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Off Peak Energy	c/kWh	0.546
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Contract Demand	\$/kVA pa	-
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Minimum Demand 150kVA



Attachment 3

SCHEDULE OF TRANSMISSION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

NEE76 *Large demand multi-rate - > 280kVA & > 750MWh/pa*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
Peak Energy	c/kWh	1.139
Shoulder Energy	c/kWh	1.139
Off Peak Energy	c/kWh	0.546
Contract Demand	\$/kVA pa	-
Minimum Demand 280kVA		

High Voltage Tariffs

Applies to 22,000 Volt supplies

NEE81 *High Voltage demand*

Peak Times - 7:00AM to 11:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
Peak Energy	c/kWh	0.903
Off Peak Energy	c/kWh	0.546
Contract Demand	\$/kVA pa	-
Minimum Demand 1150kVA		

NEE82 *Traction*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
Peak Energy	c/kWh	0.942
Shoulder Energy	c/kWh	0.942
Off Peak Energy	c/kWh	0.546
Contract Demand	\$/kVA pa	-
Minimum Demand 1150kVA		

NEE83 *Small High Voltage demand*

Peak Times - 7:00AM to 10:00AM and 4:00PM to 11:00PM Monday - Friday

Shoulder Times - 10:00AM to 4:00PM Monday - Friday

Off Peak - All other times

Standing Charge	\$/customer pa	\$ 0.00
Peak Energy	c/kWh	0.941
Shoulder Energy	c/kWh	0.941
Off Peak Energy	c/kWh	0.546
Contract Demand	\$/kVA pa	-
Minimum Demand 150kVA		



Attachment 3

SCHEDULE OF TRANSMISSION USE OF SYSTEM TARIFFS

Date of Application - 1 January 2005

Excludes GST

Subtransmission Tariffs

Applies to 66,000 Volt supplies

NEE91 Subtransmission demand - <25000kVA and < 20km from Terminal Station

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 0.00
Peak Energy	c/kWh	0.868
Off Peak Energy	c/kWh	0.546
Contract Demand	\$/kVA pa	-
Minimum Demand 10500kVA		

NEE94 Subtransmission demand - >25000kVA and < 20km from Terminal Station

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 0.00
Peak Energy	c/kWh	0.834
Off Peak Energy	c/kWh	0.546
Contract Demand	\$/kVA pa	-
Minimum Demand 25000kVA		

NEE95 Subtransmission demand - <25000kVA and > 20km from Terminal Station

Peak Times – 7:00AM to 11:00PM Monday – Friday

Off Peak – All other times

Standing Charge	\$/customer pa	\$ 0.00
Peak Energy	c/kWh	0.884
Off Peak Energy	c/kWh	0.546
Contract Demand	\$/kVA pa	-
Minimum Demand 10500kVA		



Attachment 4

Tariff principles:

Economic Efficiency. The capacity of the TXU Networks is determined by the load requirements of customers at times of peak demand. Through its tariffs TXU Networks aims to encourage customers to make efficient use of the distribution system. This objective is achieved by establishing tariffs with time of use components and/or block rates. Higher rates on time of use tariffs at times of peak demand and the higher block rate for large users provide customers with appropriate price signals at these times.

Financial Sufficiency: Distribution assets are high value capital assets with long lives. In order to protect the long-term viability of the network, TXU Networks must recover the Long Run Marginal cost of supply through appropriate pricing. This ensures that there is sufficient funding of essential investment to cater for the growth in the distribution network for both new development additional capacity and asset replacement. TXU Networks achieves the appropriate outcome by establishing prices and charges in accordance with the Price Determination and the allocation of the charges to customer groups based on their contribution to the demand on the system.

Cost reflectivity. The TXU Networks cost allocation model takes into account capacity and energy requirements of different customer groups and allocates costs in relation with these needs. Customer groups are determined on the basis of their metering installation and load requirements. Using these groupings TXU Networks determines each customer group's contribution to network capital and operating cost requirements. The direct fixed costs of each group are then assigned to the standing costs. The other fixed capacity costs are allocated to the demand requirements and these are recovered through the demand charges, or in the case of energy only tariffs they are reallocated to the variable costs and recovered through the energy charges.

Equity. TXU Networks groups customers on the basis of their annual use and connection characteristics, including the meter type. TXU Networks ensures that there is equity in the assignment of tariffs by establishing sound rules for Network Tariff assignment based on a customer's load and connection characteristics. TXU Networks tariffs are published on an annual basis and customers and retailers have the opportunity to evaluate the available options and seek a reassignment where usage expectations have changed.

Simplicity. For simplicity TXU Networks residential and small I&C tariffs are based on energy consumption and time of use patterns and basic standing charges. For large I&C customers, TXU Networks believes that more complex tariffs are appropriate as these allow the distributor to give more explicit price signals relative to their utilisation of the network. Where customers have large loads this type of tariff will provide them with more constant cash flows as they have less exposure to the variable energy components.

Certainty. The TXU Networks cost of supply model allocates costs based on the Long Run Marginal Cost to operate the Network. Network assets are allocated to each level of supply dependent on their contribution to load and capacity requirements for their own and all above levels of transformation. This approach ensures tariffs remain stable in the long run. In the short term there may be the need to make small adjustments as these are done within the price control constraints of CPI+2%. TXU Networks ensures customer groups are not exposed to significant price shocks.

Conflicting Tariff principles

TXU Networks endeavours to manage its tariffs in a manner that minimised conflict between the principles. However, where conflict arise, TXU Networks takes account for the need to ensure the long term viability of the network and equity between customer groups and the need to provide appropriate price signals to customers.



Attachment 5

RULES FOR DETERMINING A CUSTOMERS MAXIMUM DEMAND

For the purposes of determining a customer's Maximum Demand for Network Tariffs the following rules apply:

Definitions:

"Maximum Demand" means the demand determined in accordance with paragraphs (1) and (2) below which is made available by a Distributor for use by a customer at the Supply Point and is the basis for setting maximum demand charges to be paid by the customer to the Distributor each billing period. The Maximum demand is measured in kilo volt amps (kVA) and is calculated as the energy consumption recorded over the demand integration period divided by the demand integration period in hours. The demand integration period is 30 minutes. The Maximum Demand for a Supply Point is always more than or equal to the minimum chargeable demand applicable to the tariff, as specified in the Distribution Tariff Schedule (Attachment 1).

The formula for determining kVA is:

$$kVA = \sqrt{(KW^2 + kVAR^2)}$$

Where:

kW = kilo watts recorded over a 30 minute period

KVAR = kilo volt amp reactive recorded over a 30 minute period.

1. Initial Selection of Maximum Demand

(a) Supply Points not previously supplied under a contract demand tariff:

If a customer requests a supply of electricity under a demand metered Network Tariff, then an initial level of Maximum Demand must be agreed between the customer and TXU Networks as set out below:

(i) For existing Supply Points: during the third month of supply, the customer and TXU Networks must negotiate a Maximum Demand to apply for the following 12 months having regard to:

(A) the minimum chargeable demand applicable to the relevant Distribution Tariff as set out in the schedule of Distribution Tariffs (Attachment 1).

(B) the actual highest metered maximum demand recorded since supply commenced.

(ii) For new Supply Points: the customer and TXU Networks must negotiate a Maximum Demand to apply for a minimum of the following 12 months having regard to:

(A) the minimum chargeable demand applicable to the relevant Distribution Tariff as set out in the schedule of Distribution Tariffs (Attachment 1).

(B) the expected maximum demand of the relevant Supply Point.



(b) **Supply Points previously supplied under a demand tariff**

The records of metered demand for the customer in respect of the relevant Supply Point for the preceding 12 months must be examined. The Maximum Demand, for the customer in respect of the relevant Supply Point, is the highest of:

- (i) the maximum recorded demand that occurred in the preceding 12 month period; and
- (ii) the minimum chargeable demand applicable to the relevant Distribution Tariff (as specified in Attachment 1); and
- (iii) the contract demand under the previous tariff.

Where (i) is the highest and the customer satisfies TXU Networks that the maximum recorded demand was due to an unusual situation that is unlikely to recur, then the customer and TXU Networks must negotiate a Maximum Demand to apply for a minimum of the following 12 months having regard to:

- (iv) the minimum chargeable demand applicable to the relevant Distribution Tariff as set out in Attachment 1; and
- (v) the expected maximum demand of the relevant Supply Point.

2. **Changes to Maximum Demand**

(a) **Increases in Maximum Demand**

- (i) Where a customer requires an increase in Maximum Demand at a Supply Point, the customer must make a written request to TXU Networks. The increased level of Contract Demand shall apply from the requested date or as near as possible thereafter, subject to any required work being completed by TXU Networks.
- (ii) Temporary increases in Maximum Demand may be made available by TXU Networks to the customer in respect of the relevant Supply Point to cover specific, short-term needs, such as the commissioning of new plant, subject to:
 - (A) a minimum of one month's written notice from the customer; and
 - (B) prior agreement from the local DB (which agreement will be conditional upon the necessary capacity being available in TXU Networks Distribution System).

(b) **Temporary Increases in Maximum Demand**

Temporary increases in Maximum Demand will:

- (i) be defined in terms of "additional demand" for a specific period;
- (ii) apply for one full billing period, except in the case of commissioning of new plant, in which case the duration of the temporary increase may be extended for the duration of the commissioning;



- (iii) be charged at the standard Maximum Demand price; and
- (iv) be limited to once occurrence in any 12 month period unless otherwise agreed by the local DB.

(c) **Reduction in Maximum Demand**

- (i) Where a customer requires a reduction in Maximum Demand at Supply Point, the customer must give 12 months written notice of this requirement. If TXU Networks agrees to reduce the Maximum Demand to any level down to the level sought by the customer, TXU Networks must notify the customer in writing within the 12-month notice period of a new Maximum Demand. The new Maximum Demand is to be applied from the reading date following the reading date that falls at the end of that 12-month notice period.

However, following installation by the customer of load management equipment approved by TXU Networks or the implementation of a demand management initiative approved by TXU Networks, the 12-month notice period may be reduced at the discretion of TXU Networks.

- (ii) If, in the 12 months following any reduction in Maximum Demand under sub-paragraph (i), the reduced Maximum Demand is exceeded, then the demand so recorded becomes the Maximum Demand applicable from the time of the reduction. This shall not apply to temporary increases in demand negotiated under clause 2(a)(ii).

(d) **Changes following Maximum Demand being exceeded**

In the event that the metered maximum demand in a billing period exceeds the Maximum Demand for that customer in respect of the relevant Supply Point;

- (i) a new Maximum Demand is established equal to the metered demand in that billing period;
- (ii) the new Maximum Demand shall apply for at least 12 months unless an exemption is obtained under sub-paragraph (iii) below;
- (iii) If the new Maximum Demand is established as a result of a fault in the customer's electrical installation in respect of the relevant Supply Point, then TXU Networks may reduce the Maximum Demand back to the previous level after 3 months, provided:
 - (A) TXU Networks receives a written application for such a reduction from the customer within 30 days of billing following the fault; and
 - (B) TXU Networks is satisfied that:
 - (I) the fault has been diagnosed; and
 - (II) action has been taken to avoid a recurrence of that or similar faults; and



- (iv) Where the capacity of TXU Networks Distribution System is inadequate to make supply available at a higher rate on a continuous basis, TXU Networks may advise the customer that the new Maximum Demand will apply only for the billing period in which it was established, pending augmentation of TXU Networks Distribution System and renegotiation of a revised Maximum Demand. The maximum demand thereafter is limited to the available capacity of TXU Networks Distribution System, as determined by TXU Networks, by suitable load limiting equipment installed by the customer to the satisfaction of TXU Networks.

3. Multiple Supplies

Where TXU Networks provides multiple supplies, including alternative supplies to a customer in respect of a particular Supply Point, each supply shall be separately metered and billed under the Network Tariff selected by the customer for each supply. However, where such multiple supplies are taken from and metered at a single Supply Point they are to be treated as a single supply for Network Tariff and billing purposes.